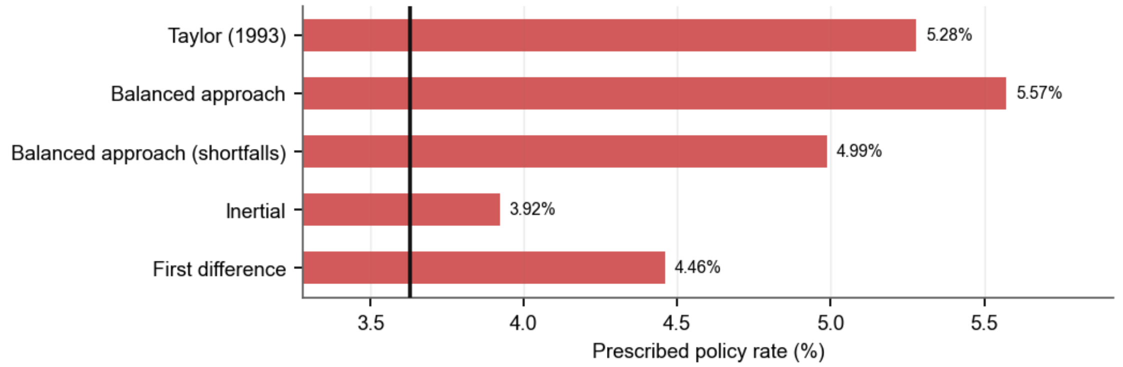
Macro Rate Radar — Federal Reserve

Sun 16th August 2026 | XP Inc. Global Macro

Simple monetary-policy rules — the Taylor-rule family relating the policy rate to inflation and the output gap — evaluated on current public data (inflation 3.29% vs a 2.00% objective, r* 1.06%, output gap +0.58pp), and set against the meeting path the futures strip currently prices. The median of the five rules sits at **4.99%**, 136bp above the current policy setting of 3.63%, with 165bp of dispersion across rules. Taken to the July 2027 meeting, the rule path implies 76bp more tightening than the futures strip currently prices — a divergence that may be worth a closer look.

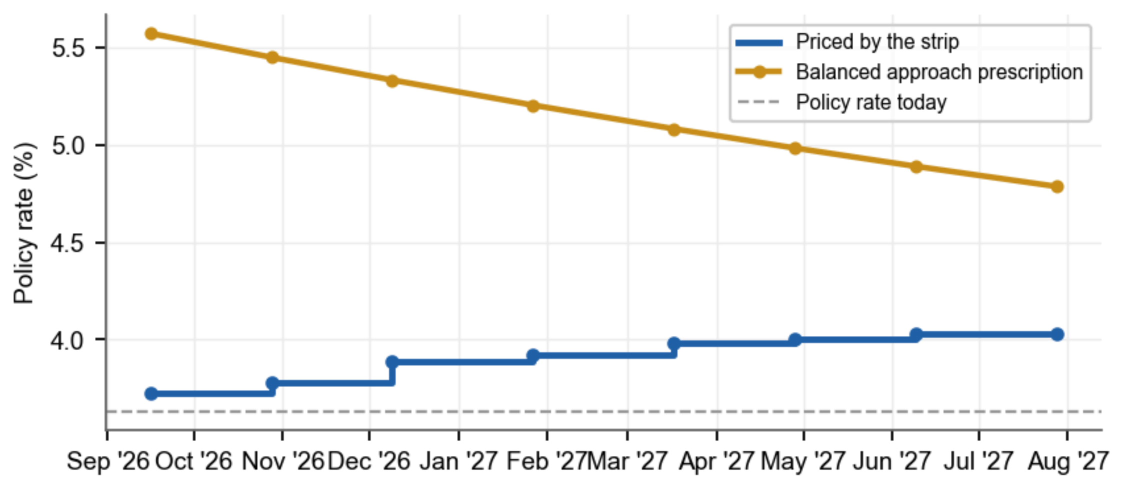
POLICY RATE	MEDIAN RULE	RULE DISPERSION	VS THE STRIP
3.63%	**4.99%**	**165 bp**	**+76 bp**
current setting	+136 bp vs policy	highest minus lowest	prescribed − priced, furthest meeting

THE FIVE RULES — PRESCRIPTION VS THE CURRENT SETTING



Rule	Prescribes	vs policy (bp)	Working
Taylor (1993)	5.28%	+165	`1.06 + 3.29 + 0.5×(3.29 − 2.00) + 1.0×(+0.29) = 5.28%`
Balanced approach	5.57%	+194	`1.06 + 3.29 + 0.5×(3.29 − 2.00) + 2.0×(+0.29) = 5.57%`
Balanced approach (shortfalls)	4.99%	+136	`1.06 + 3.29 + 0.5×(3.29 − 2.00) + 2.0×min(+0.29, 0) = 4.99%`
Inertial	3.92%	+29	`0.85×3.63 + 0.15×5.57 = 3.92%`
First difference	4.46%	+83	`3.63 + 0.5×(3.29 − 2.00) + (+0.29 − +0.10) = 4.46%`

PRESCRIBED VS PRICED — RULE PATH AGAINST THE FUTURES STRIP



Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
16 Sep 2026	3.725	+8.8	5.57	+185
28 Oct 2026	3.779	+14.2	5.45	+167
09 Dec 2026	3.888	+25.1	5.33	+144

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Meeting	Priced policy (%)	Priced cum (bp)	Rule prescribes (%)	Spread (bp)
27 Jan 2027	3.924	+28.7	5.20	**+128**
17 Mar 2027	3.980	+34.2	5.08	**+110**
28 Apr 2027	4.005	+36.7	4.98	**+98**
09 Jun 2027	4.030	+39.3	4.89	**+86**
28 Jul 2027	4.031	+39.4	4.79	**+76**

Market path from the exchange settlement strip (2026-08-14), inverted into a per-meeting step path. A positive spread means the rules point to a higher policy rate than the curve has priced at that meeting; a negative spread the reverse.

DATA SOURCES

inflation	FRED · Core PCE price index (y/y %) (2026-06-01)
policy rate	FRED · Effective fed funds rate (2026-08-13)
unemployment	FRED · Unemployment rate (2026-07-01)
r*	NY Fed (Holston-Laubach-Williams) · Natural rate r* (HLW) — US (2026-01-01)
NAIRU	FRED · Natural rate of unemployment (CBO) (2026-07-01)

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